Losses for company

Content

E Corporation tax liabilities

2. Taxable total profits

d) Compute property business profits and understand how relief for a property business loss is given

e) Understand how trading losses can be carried forward.

f) Understand how trading losses can be claimed against income of the current or previous accounting periods.

g) Recognise the factors that will influence the choice of loss relief claim.

1. On-going business trading loss relief

- Current period relief
- Carry back relief
- Carry forward relief

1.1 Current Period Relief

Trading loss can be set against the company's total profits before QCD for the current accounting period.

If claim is made, the loss must be used as much as possible. QCD may be wasted.

Claim deadline: 2 years after the end of the accounting period in which trading loss incurred.

1.2 Carry Back Relief

Trading losses can be carried back to deduct the company's total profits before QCD of the 12 months prior to the accounting period in which the loss arises.

The current period claim must be made first.

If claim is made, the loss must be used as much as possible. QCD may be wasted.

Time apportion if the 12 months include 2 accounting periods.

Claim deadline: 2 years after the end of the accounting period in which trading loss incurred.

Lecture example 1

Mo Ltd had the following results for the three accounting periods to 31 December 2025.

	Y/e 30 June 2024 £	6 months to 31 December 2024 £	Y/e 31 December 2025 £
Trading profit/(loss)	21,000	12,000	(28,000)
Bank interest income	2,000	800	1,600
Qualifying charitable donation	700	1,000	600

Calculate the taxable total profits for all accounting period assuming that claims are made for current period and carry back relief. Identify any trading loss unused and any qualifying charitable donations unrelieved.

1.3 Carry Forward Relief

A trading loss may be carried forward and against the future total profit.

Carry forward relief can be applied independently. It is not necessary to make a current period relief or carry back relief first.

The amount of loss relieved can be set and restricted upon the circumstances.

Claim deadline: 2 years after the end of the accounting period in which trading loss deducted.

1. On-going business trading loss relief

Current period relief

Carry forward relief

Current period relief, and then carry back relief

Current period relief, and then carry forward relief

Current period relief, then carry back relief, and then carry forward relief

1. On-going business trading loss relief

	Accounting Period 1	Accounting Period 2	Accounting Period 3	Accounting Period 4
Trading income	X	X	**0**	X
Other income and gains	X	X	X	X
Total profit	X	X	X	X
Less: Current Period Relief			(X)	
Less: Carry Back Relief		(X)		
Less: Carry Forward Relief (restrict to preserve QCD)				(X)
Less: QCD	(X)	(X)	(X)	(X)
Taxable Total Profit	X	X	X	X

Lecture example 2

Je plc has the following results.

	Y/e 31 March 2024 £	Y/e 31 March 2025 £	Y/e 31 March 2026 £	Y/e 31 March 2027 £
Trading income	20,000	30,000	(75,000)	15,000
Property income	10,000	10,000	10,000	10,000
Qualifying charitable donations	(5,000)	(5,000)	(5,000)	(5,000)

Calculate the TTP for the above periods assuming loss relief is claimed as quickly as possible and the most beneficial carry forward loss relief claim. Identify any trading loss unused and any qualifying charitable donations unrelieved.

2. Terminal trading losses

During the last 12 months, trading loss can be carried back for 36 months against total profits before QCD before the start of cessation period.

- The loss for the loss-making period must be claimed as current period relief first
- LIFO basis

Lecture example 3

Ki Ltd ceased trading on 31 March 2026. It had the following results for the five accounting periods to 31 March 2026.

	Y/e 30 September 2022 £	6 months to 31 March 2023 £	Y/e 31 March 2024 £	Y/e 31 March 2025 £	Y/e 31 March 2026 £
Trading income	13,200	8,000	16,000	12,000	(57,000)
Investment income	500	-	600	600	300
Capital gains	1,000	-	-	300	6,000
Qualifying charitable donations	700	-	300	600	-

Lecture example 3

Show taxable total profits for all periods affected, assuming loss relief is taken as soon as possible. Identify any trading loss unused and any qualifying charitable donations unrelieved.

3. Property business losses

Must against current period total profits before QCDs as much as possible.

Any remaining property loss is carried forward to set against total profits in succeeding period.

The brought forward property loss can be deducted in any amount.

4. Capital losses

Must against current period gains as much as possible.

Any excess loss is carried to subsequent accounting periods and against gains as much as possible.

5. Qualifying charitable donations

After losses against total profits before qualifying charitable donations, those qualifying charitable donations may become unrelieved.

The only way to get those qualifying charitable donations to be relieved is via group relief. (later)

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Quizzes(self-practice)

Quiz 1

Which of the following statements about terminal loss relief is correct?

A.The loss can be carried back for four years on a FIFO basis, provided it is first set against current year total profits.

B.The loss can be carried back for four years on a LIFO basis, provided it is first set against current year total profits.

C.The loss can be carried back for three years on a LIFO basis, provided it is first set against current year total profits.

D.The loss can be carried back for three years on a FIFO basis, provided it is first set against current year total profits.

Quiz 1-A

The correct answer is **C**.
Terminal loss relief is claimed on a LIFO basis, and can be carried back three years.

Quiz 2

Torpedo Ltd has the following results for the years ended 31 July 2025 and 2026:

	2025	2026
	£	£
Tax adjusted trading profit	15,000	12,000
Business property income	(29,300)	1,500
Interest income	800	–
Qualifying charitable donation	(300)	(300)

Quiz 2

What is Torpedo Ltd's loss brought forward as at 1 August 2026?

A.£2,300
B.£0
C.£300
D.£1,500

Quiz 2-A

The correct answer is **C**.

	2025	2026
	£	£
Tax adjusted trading profit	15,000	12,000
Business property income	0	1,500
Interest income	800	0
Total profits	15,800	13,500
Less: property business loss	(15,800)	
Property business loss carried forward		(13,200)
	0	300
Less: QCDs		
	wasted	(300)
TTP	0	0

Quiz 2-A

Loss memorandum:	£
Property business loss year ended 31 July 2025	29,300
Current year	(15,800)
Carried forward to 2026	(13,200)
Available to carry forward to 2027	300

Quiz 3

Yeller Ltd has the following results for the years ended 31 March 2025 and 2026:

	2025	2026
	£	£
Tax adjusted trading profit/(loss)	(14,000)	15,000
Interest income	1,800	2,000
Capital loss	(3,000)	–
Chargeable gains	1,000	9,000

Quiz 3

What will Yeller Ltd's taxable total profits for the year ended 31 March 2026 be, assuming all losses are claimed as soon as possible?

A.£11,800
B.£10,000
C.£10,800
D.£9,000

Quiz 3-A

The correct answer is **A**.

	2025	2026
	£	£
Tax adjusted trading profit	0	15,000
Interest income	1,800	2,000
Chargeable gains	0	7,000
Total profits	1,800	24,000
Less: trading loss current year offset	(1,800)	
trading loss carried forward		(12,200)
TTP	0	11,800

Quiz 3-A

Loss memorandum:	£
Capital loss 31 March 2025	3,000
Current year	(1,000)
Carried forward to 2026	(2,000)
	–
	£
Trading loss 31 March 2025	14,000
Current year	(1,800)
Carried forward to 2026	(12,200)
	–



谢谢观看

THANK FOR WATCHING